BEFORE THE EXECUTIVE DIRECTOR, DEPARTMENT OF REVENUE
STATE LICENSING AUTHORITY
STATE OF COLORADO

Case Number: 23M021

STIPULATION, AGREEMENT, AND ORDER

IN THE MATTER OF:

Dutch Botanicals LLC d/b/a Morganic Concentrates
Retail Marijuana Cultivation Facility License No. 403R-00731
Retail Marijuana Products Manufacturer Facility License No. 404R-00226
Medical Marijuana Products Manufacturer Facility License No. 404-00780

Jenny Ping Tran
Owner – Social Equity License No. M79118

Licensees.

MED Complaint Nos. 2022-0221, 2022-0266, 2023-0245, 2024-0216, 2024-0252, & 2024-0271.

THIS STIPULATION, AGREEMENT, AND ORDER ("Order") between the Department of Revenue, Marijuana Enforcement Division ("Division"), and Dutch Botanicals LLC d/b/a Morganic Concentrates (Retail Marijuana Cultivation Facility License No. 403R-00731; Retail Marijuana Products Manufacturer Facility License No. 404R-00226; Medical Marijuana Products Manufacturer Facility License No. 404-00780) and Jenny Ping Tran (Owner – Social Equity License No. M79118), (collectively "Licensees[1]"), is offered for the purposes of settlement and to avoid the uncertainty and cost of future administrative action. The Division and Licensees submit to and agree as follows:

1. The Executive Director of the Department of Revenue as the State Licensing Authority ("State Licensing Authority") has jurisdiction over the Licensee and the subject matter herein pursuant to the provisions of subsection 44-10-201(1)(a), C.R.S.

[1]Capitalized terms not defined herein are used consistently with their definitions and usages in the Marijuana Rules. *See generally* Rule 1-115.

2. Pursuant to subsection 44-10-901(1), C.R.S., the State Licensing Authority has the power, on its own motion or on complaint, after investigation and opportunity for a public hearing at which the licensee shall be afforded an opportunity to be heard, to fine, suspend, or revoke a license or impose any other sanction authorized by the Marijuana Code or Marijuana Rules, for a violation by the licensees or any of the agents or employees of the licensees.

3. Dutch Botanicals LLC d/b/a Morganic Concentrates ("Dutch Botanicals") holds Retail Marijuana Cultivation Facility License No. 403R-00731 ("Retail Cultivation"), located at 17600 East Exposition Drive, Unit C-1, Aurora, Colorado 80017; and Retail Marijuana Products Manufacturer Facility License No. 404R-00226 ("Retail Manufacturing Facility") and Medical Marijuana Products Manufacturer Facility License No. 404-00780 ("Medical Manufacturing Facility"), co-located at 17600 East Exposition Drive, Unit C-2, Aurora, Colorado 80017.

4. At all relevant times, the city of Aurora was the Local Licensing Authority for Dutch Botanicals' Regulated Marijuana Business Licenses.

5. At all relevant times, Jenny Ping Tran ("Tran") held Owner – Social Equity License No. M79118, issued by the State Licensing Authority, and was the [redacted] Controlling Beneficial Owner of Dutch Botanicals.

6. Licensees have been the subject of multiple investigations conducted by the Division. The Division alleges violations of the Colorado Marijuana Code, sections 44-10-101 *et seq*., C.R.S. ("Marijuana Code"), and the rules promulgated pursuant to the Marijuana Code at 1 CCR 212-3 ("Marijuana Rules").

7. The State Licensing Authority served an Order of Summary Suspension, Third Amended Order to Show Cause, Notice of Hearing, and Notice of Duty to Answer on Licensees on July 30, 2025, attached hereto as **Exhibit 1**.

8. This matter was set for a five-day administrative hearing beginning on December 8, 2025.

9. The Division and Licensees have come to a mutual agreement and understanding to jointly propose to the State Licensing Authority a resolution of the allegations against Licensees, in lieu of proceeding to hearing to determine the merits of such allegations in the First Amended Order to Show Cause.

10. The terms and conditions of this Order are subject to approval by the State Licensing Authority.

11. Licensees admit the following facts and violations:

    a. The Retail Cultivation, Retail Manufacturing Facility, and Tran violated Marijuana Rule 2-265(C)(1), by allowing unlicensed individuals to possess,

cultivate, and/or manufacture Regulated Marijuana or Regulated Marijuana Products on the Licensed Premises.

b. The Retail Cultivation, Retail Manufacturing Facility, and Tran violated Marijuana Rule 2-265(C)(3) by permitting unlicensed individuals unescorted access in the Limited Access Areas of the Licensed Premises.

c. The Retail Cultivation, Retail Manufacturing Facility, and Tran violated Marijuana Rule 2-265(D)(1), by permitting unescorted and unlicensed individuals access to the Licensed Premises without a visitors' badge. Failure by a Regulated Marijuana Business to continuously escort an individual who does not have a valid Owner License and Identification Badge or an Employee License and Identification Badge in the limited Access Area is a license violation affecting public safety.

d. The Retail Cultivation, Retail Manufacturing Facility, and Tran violated Marijuana Rule 3-205(A), by permitting Persons in a Limited Access Area without a badge or who failed to properly display a current Identification Badge issued by the Division at all times. Proper display of the Identification Badge shall consist of wearing the badge in a plainly visible manner, at or above the waist, and with the photo of the Licensee visible.

e. The Retail Cultivation, Retail Manufacturing Facility, and Tran violated Marijuana Rule 3-205(B)(1), as prior to entering a Limited Access Area, all visitors, including outside vendors, contractors, or others, must obtain a visitor identification badge from management personnel of the Licensee that shall remain visible while in the Limited Access Area.

    i. The Retail Cultivation, Retail Manufacturing Facility, and Tran did not provide a visitors' badge to unlicensed individuals working on the Licensed Premises.

f. The Retail Cultivation, Retail Manufacturing Facility, and Tran violated Marijuana Rule 3-905(A)(3)(a)(i), by failing to use the Inventory Tracking System to list all employees who report to the Licensed Premises. The employee list in the Inventory Tracking System must include the full name and Employee License number of every employee who works on the premises. The Regulated Marijuana Business is responsible for updating its list of employees who work at the Licensed Premises in the Inventory Tracking System within 10 days of an employee commencing or ceasing employment.

    i. On May 11, 2022, Dutch Botanicals transferred packages of Retail Marijuana Product with "Not Submitted" testing statuses reported

in the ITS from the Retail Manufacturing Facility to another Regulated Marijuana Business.

g. The Retail Cultivation, Retail Manufacturing Facility, and Tran violated Rule 4-120(A)(1), as a Regulated Marijuana Business shall not Transfer or process Regulated Marijuana, Pre-Rolled Marijuana, Infused Pre-Rolled Marijuana, Regulated Marijuana Concentrate or Regulated Marijuana Product unless Test Batches from each Harvest Batch or Production Batch from which that Regulated Marijuana was derived has been tested by a Regulated Marijuana Testing Facility for contaminants and passed all contaminant tests required by this Rule, except as permitted in Rule 5-205(C), 6-205(C), or the cultivation or production process has achieved a Reduced Testing Allowance under this Rule.

    i. Dutch Botanicals did not test all Harvest Batches produced at the Retail Cultivation before processing the Retail Marijuana into concentrate.

h. The Retail Cultivation and Tran violated Marijuana Rule 6-220(C)(2), beginning the 181st day from the commencement of its first cultivation activities, a Retail Marijuana Cultivation Facility that has more than two harvest seasons a year may not accumulate Harvested Marijuana in excess of the total amount of Retail Marijuana flower and trim the Licensee reported as a package in the Inventory Tracking System that was Transferred to another Retail Marijuana Business in the previous 180 days.

    i. On July 28, 2022, Dutch Botanicals' ITS account reported [redacted] pounds of Retail Marijuana in inventory at the Retail Cultivation.

    ii. In the six months prior to July 28, 2022, Dutch Botanicals transferred [redacted] pounds of Retail Marijuana from its Retail Cultivation to other Regulated Marijuana Businesses.

    iii. Licensees permitted unlicensed individuals to work at the Regulated Marijuana Businesses.

i. Licensees violated Marijuana Rule 4-110(B)(3), as any individual receiving the Designated Test Batch Collector training must sign and date a document which shall be maintained by the Regulated Marijuana Business as a business record pursuant to Rule 3-905. The document must acknowledge the following: (a) the identity of the Person that created the training, such as the Regulated Marijuana Business or a third-party vendor; and (b) that all required topics of the training identified in this Rule

have been reviewed and understood by the Owner Licensee or Employee Licensee.

j. Licensees violated Marijuana Code subsections 3-905((B)(13)(a), by failing to maintain the information required in this Rule in a format that is readily understood by a reasonably prudent business person and may be stored electronically, including: (13) Testing Records Required to be Maintained by Regulated Marijuana Businesses and Accelerator Licensees: (a) Documentation of Designated Test Batch Collector Training required by Rule 4-225(D)(3).

12. Licensees offer the following statements in mitigation:

a. Regarding items 11(a) through 11(f): Tran experienced significant hiring difficulties during the COVID-19 period, which contributed to certain compliance lapses. These issues were promptly corrected following the pandemic and the corrective procedures had been implemented.

b. Regarding item 11(g): Tran provided documentation showing that the violation resulted from a misunderstanding of the process validation requirements. After consultation and clarification with the assigned MED officer, the issue was corrected, and compliance procedures were updated accordingly.

c. Regarding item 11(h): Tran explained that this violation stemmed from a newly introduced policy that she was not yet aware of at the time. Once identified, the matter was promptly resolved through the lawful sale of excess product inventory to bring operations back into compliance.

d. Regarding items 11(i) and 11(j): Tran corrected the documentation deficiencies in a timely manner and ensured that all required records were completed and properly maintained thereafter.

13. The Division and Licensees agree, in lieu of proceeding with an administrative hearing and subsequent proceedings, to the following:

a. Tran agrees to voluntarily surrender her Owner – Social Equity License No. M79118. The voluntary surrender of Tran's Owner – Social Equity License shall be treated as a revocation of the license. The voluntary surrender is accepted, approved, and effective the date of service of the fully executed Order. Within **7 days** following service of the fully executed Order, Licensee shall provide documentation of the physical destruction of her Division-issued badge to Jasmin Quijano at the Division at jasmin.quijano@state.co.us.

b. Licensees agree to the voluntarily surrender of Dutch Botanicals' Retail Marijuana Cultivation Facility License No. 403R-00731; Retail Marijuana Products Manufacturer Facility License No. 404R-00226; and Medical Marijuana Products Manufacturer Facility License No. 404-00780. The voluntary surrenders shall be treated as a revocation of the licenses. The voluntary surrender is accepted, approved, and effective the date of service of the fully executed Order.

c. Licensees certify that all Regulated Marijuana inventory located at Dutch Botanicals' Retail Marijuana Cultivation Facility License No. 403R-00731; Retail Marijuana Products Manufacturer Facility License No. 404R-00226; and Medical Marijuana Products Manufacturer Facility License No. 404-00780, has been destroyed in conformance with Marijuana Rule 3-230 – Waste Disposal.

d. Licensees shall pay outstanding tax, penalty, and interest owed to the Department of Revenue ("Department") for Retail Marijuana excise taxes for the months of December 2024 and April 2025 in the amount of [redacted] This amount will continue to accrue interest until all amounts owed to the Department are paid in full. The tax, penalty and interest shall be paid **within 60 days** following service of a copy of the fully executed Order, as reflected in the Certificate of Service below as follows:

   i. Licensees shall make the tax payments identified in paragraph 13(d) above electronically (Wire Transfer), and provide the confirmation or transaction number to **Christina Donahue, via e-mail at christina.donahue@state.co.us, no more than three (3) days after** the wire transfer date**.**

      1. Wire Transfer Instructions:

Wire transfer Number:	121000248
Bank:	Wells Fargo Bank NA
City & State:	San Francisco, CA
Beneficiary Account No.	1018170265
Beneficiary Name:	State of Colorado, Dept of Revenue, Tax Compliance

e. Licensees waive all statutes of limitations on collection of the excise taxes owed to the Department for the December 2024 and April 2025 tax periods, including, but not limited to, the statute of limitations in section 39-21-107, C.R.S.

f. The Department reserves all of its statutory rights and remedies regarding any taxes, penalties and interest owed by Licensees. Nothing in this Order shall be construed as a waiver of the Department's ability to investigate or pursue a criminal prosecution of Licensees, or any of them, including, but not limited to, pursuant to § 39-21-118, C.R.S.

g. Licensees agree to pay, and to be jointly and severally responsible for the payment of a fine in the amount of [redacted] The fine shall be paid by certified check or money order, made payable to the Colorado Department of Revenue, within **60 days** following service of a copy of the fully executed Order, as reflected in the Certificate of Service below. Licensees shall contact Jasmin Quijano at the Division at jasmin.quijano@state.co.us to discuss procedures for delivery and payment of the fine.

14. Licensees agree, if ever licensed by the State Licensing Authority to hold a Colorado Regulated Marijuana License in the future, that Licensees will not recommit any of the violations related to the admissions in paragraph 11, and that Licensees will remain in compliance with the Marijuana Code and Marijuana Rules.

15. Licensees acknowledge receipt of sufficient notice, advisement of rights, and wishes to resolve all issues, which were the subject of the investigation or in any way related to the investigation, by entering into this Order.

16. Except as reflected in this Order, neither the facts nor circumstances relating to the underlying complaint or investigation that formed the basis for this Order against Licensees nor any defenses that Licensees may have to such complaint and/or investigation shall be at issue in a proceeding against Licensees for failing to comply with the terms of this Order.

17. Licensees agree that if Licensees apply for a new license, or seeks reissuance or reinstatement of any license, registration, or permit pursuant to the Marijuana Code, or any successor to such Codes, the Division may consider the facts and circumstances surrounding this Order. Further, this Order and related circumstances shall be admissible as evidence at any future hearing before the State Licensing Authority and may be used in connection with any future actions by the State Licensing Authority.

18. Licensees agree that Licensees entered into this Order knowingly and voluntarily. The terms of this Order were mutually negotiated and agreed upon. Licensees understand they have the right to be represented by counsel of their choosing at Licensees' expense, and Licensees have chosen not to be represented by counsel in this process. Licensees have read this Order and fully understand its nature, meaning, and content. Licensees agree that upon execution of this Order, no

subsequent action or claim or assertion shall be maintained or pursued by Licensees asserting the invalidity in any manner of this Order.

19. Licensees further understand and knowingly and voluntarily waives the following rights:

    a. The right to a public hearing on the merits of the matters forming the basis of this Order;

    b. The right to cross-examine all witnesses against Licensees at a public hearing;

    c. The right to subpoena witnesses and documents, to present evidence and to testify on Licensees' own behalf at a public hearing;

    d. The right to engage in pre-hearing exchange of evidence with the Division, and to review the Division's evidence prior to hearing; and

    e. The right to file exceptions and seek administrative review of an initial decision.

20. By signing this Order, Licensees consent to the terms and conditions described herein and agrees to waive the right to judicial review of this Order pursuant to section 24-4-106, C.R.S.

21. Upon execution by all parties, this Order shall have the same force and effect as an order entered after a formal hearing pursuant to sections 24-4-105 and 44-10-901, C.R.S., except that it may not be appealed. Failure to comply with the terms of this Order may be sanctioned by the State Licensing Authority as set forth in the Marijuana Code.

22. Upon execution by all parties, this Order shall represent the entire and final agreement of the parties. In the event that any provision of this Order is deemed unenforceable by a court of competent jurisdiction, or, if challenged, the State Licensing Authority determines that a provision is unproven, such provision shall be severed, unless material to the Order, and the remainder of this Order shall be given full force and effect.

23. This Order shall be binding upon Licensees individually and shall inure to the benefit of the parties to this Order and their respective successors and assigns, and shall be construed in accordance with, and governed by, the laws of the State of Colorado.

24. All costs and expenses incurred by Licensees to comply with this Order shall be the sole responsibility of the Licensees and shall not in any way be the obligation of the Division. Costs for which Licensees are exclusively responsible include, but

are not limited to, litigation costs, costs incurred by Licensees for any court appointee(s), attorneys' fees, and costs incurred by Licensees for any other professional expenses.

25. Upon approval and order of the State Licensing Authority, this Order shall become a permanent part of the record and shall be open to public inspection and published pursuant to the Division's standard policies and procedures and applicable law.

26. This Order shall be effective on the date this Order is served upon the parties as set forth in the attached Certificate of Service. Should the State Licensing Authority reject the terms hereof, Licensees may withdraw the admissions herein, engage in renegotiation of the terms, or agree to re-set this matter for an administrative hearing on the Order to Show Cause.

27. This Order may be executed by electronic means (facsimile, e-mail, DocuSign, etc.), and any signature delivered electronically will be deemed to be as valid as an original signature.

28. For the purpose of addressing any future violations of the Order, the Marijuana Code and/or the Marijuana Rules shall hereby include all later adopted codes, rules, or regulations that are in effect at the time of the violation(s).

29. This Order constitutes the entire agreement and understanding between the parties and supersedes all prior agreements and promises related to the allegations, facts, and issues that are the subject of this Order, written or oral between the parties, which modify, interpret, construe, or affect this Order. Any other allegations, facts and issues not specifically raised or addressed in this Order have not been considered by the parties and are not made a part of this Order.

Dominique D. Mendiola Digitally signed by Dominique D. Mendiola Date: 2026.01.14 23:28:36 -07'00'	[redacted]
Dominique D. Mendiola Senior Director Marijuana Enforcement Division	Jenny Ping Tran, individually and as the [redacted] owner of Dutch Botanicals, LLC, Owner – Social Equity License No. M79118
	12/10/2025
Dated in Electronic Signature Above	Date

ORDERED AND APPROVED on the date set forth in the electronic signature below.

Heidi Humphreys Digitally signed by Heidi Humphreys Date: 2026.01.28 11:55:44 -07'00'

Heidi Humphreys
Executive Director/CEO
Department of Revenue
State Licensing Authority

CERTIFICATE OF SERVICE

I hereby certify that a true and accurate copy of the foregoing **STIPULATION, AGREEMENT, AND ORDER** was duly placed in the United States Mail, first class postage pre-paid and sent via electronic mail, on the date set forth in the electronic signature below, addressed as follows:

Jenny Ping Tran 17600 E. Exposition Drive, Units C-1/C-2 Aurora, CO 80017 Email: [redacted] *Owner, Dutch Botanicals, LLC*	John B. Viverito Senior Assistant Attorney General Colorado Department of Law Marijuana, Liquor & Bankruptcy Unit Revenue & Regulatory Law Section Ralph L. Carr Colorado Judicial Center 1300 Broadway, 8th Floor Denver, CO 80203 Email: john.viverito@coag.gov melissa.young@coag.gov; raquel.mendez@coag.gov; jenni.lehman@coag.gov *Attorney for the Marijuana Enforcement Division*

By: Jennifer Bruner Digitally signed by Jennifer Bruner Date: 2026.01.28 13:43:06 -07'00'

Jennifer Bruner